Alphabet

2Q Preview: Raising estimates for Cloud strength, offset slightly by FX; Buy

Reiterate Rating: BUY | PO: 430.00 USD | Price: 370.92 USD

16 July 2026

Equity

Expecting a strong 2Q with likely Cloud upside

Reports 7/22. Checks suggest strong retail search growth, with some softness in CPG & travel, and are modestly lowering our search ests for FX, but remain slightly above Street at 17% growth. We are raising our Cloud growth est. to 70% given strong demand indicators and backlog that suggests at least $230bn in revs. over next 8 quarters, and we think 70% is close to Street expectations. We expect 2Q rev/EPS of $102.1bn/$8.38 vs Street $101.0bn/$2.90. We estimate an $80bn benefit to 2Q OI from Anthropic stake revaluation (Anthropic's valuation increased from $380bn in 1Q to $965bn in 2Q).

Raising estimates reflecting higher Cloud growth

We raise ests. for higher Cloud revenues and Anthropic asset appreciation, offset by US$ depreciation in 2Q and a higher share count (recent capital raise). For 2026, we raise net revenue by 1% to $427bn and EPS by 36% to $19.70. We now expect 16% full year search growth and 72% Cloud growth. For 2027, we raise net revenue by 3% to $537bn & EPS by 1% to $14.70. Our estimates assume $290bn of Cloud revenues from 2Q'26-1Q'28, above backlog at $230bn as recent revs. have come in higher than commitments.

Key for call: 3Q comments, backlog & capex commentary

Given focus on capex ROI, we think 2Q Search growth and usage commentary, 2Q cloud growth/margins, and any new capex commentary key for stock. For 3Q, we expect Rev/EPS of $108.8bn/$3.03, vs Street at $107.9bn/$3.02. Given accelerating AI demand, higher component pricing (memory, etc.), and recent capital raise we think Google could increase CY26 capex range by ~5% to $190-$200bn (BofA at $196bn).

Positive on differentiated AI assets & positioning; Buy

We continue to see Alphabet well positioned to drive outsized growth & Cloud margin upside given favorable AI positioning across models, silicon, consumer & enterprise distribution, with our $430 PO based on 28x 2027E EPS. Next catalyst: New AI Search ad formats, rollout of agentic search features announced at I/O, Fall launch of Gemini 4 & potential details on external TPU monetization. Risks: Tougher 3Q comps, relatively elevated valuation (vs history), OpenAI's ad ramp & flow of funds to AI IPOs. Buy.

Estimates (Dec) (US$)	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**
EPS	8.04	10.81	19.70	14.70	18.12
EPS Change (YoY)	38.6%	34.5%	82.2%	-25.4%	23.3%
Consensus EPS (Bloomberg)			14.44	15.31	18.47
Consensus EPS (Visible Alpha)			14.27	14.69	17.34
DPS	0.60	0.63	0.72	0.81	0.91
EPS (GOOG - US$)	8.04	10.81	19.70	14.70	18.12
DPS (GOOG - US$)	0.60	0.63	0.72	0.81	0.91
Valuation (Dec)					
P/E	46.1x	34.3x	18.8x	25.2x	20.5x
Dividend Yield	0.2%	0.2%	0.2%	0.2%	0.2%
EV / EBITDA*	30.9x	26.6x	20.0x	15.4x	12.0x
Free Cash Flow Yield*	1.6%	1.6%	0.4%	-0.1%	0.8%

* For full definitions of *iQmethod*SM measures, see page 22.

Key Changes

(US$)	Previous	Current
2026E EPS	14.43	19.70
2027E EPS	14.49	14.70
2028E EPS	17.62	18.12
2026E DPS	0.67	0.72

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Stock Data

Price (NAS / NAS)	370.92 USD / 370.21 USD
Price Objective	430.00 USD / 430.00 USD
Date Established	30-Apr-2026 / 30-Apr-2026
Investment Opinion	B-1-7 / B-1-7
52-Week Range	180.48 USD - 408.61 USD
Market Value (mn)	4,604,972 USD
Free Float	98.8%
Average Daily Value	12996.34 USD
Shares Outstanding (mn)	12,415.0 / 12,415.0
BofA Ticker / Exchange	GOOGL / NAS
BofA Ticker / Exchange	GOOG / NAS
Bloomberg / Reuters	GOOGL US / GOOGL.OQ
ROE (2026E)	44.1%
Net Dbt to Eqty (Dec-2025A)	8.9%

AI: Artificial Intelligence
CTR: Click Through Rate
CPC: Cost Per Click
3P: Third Party
LLM: Large Language Models
PMax: Performance Max
ROI: Return on Investment
YTD: Year to date
DOJ: Department of Justice
I/O: Google I/O Conference
FX: Forex
GCP: Google Cloud Platform
NFL: National Football League
CFO: Chief Financial Officer
SGE: Search Generative Experience
DMA: Digital Markets Act
YT: YouTube
FCF: Free Cash Flow
F/S: Financial services
CPG: consumer packaged goods

*iQprofile*SM Alphabet

iQ**method* SM **– Bus Performance

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Return on Capital Employed	37.2%	37.6%	40.9%	23.3%	22.9%
Return on Equity	35.3%	37.8%	44.1%	23.4%	22.6%
Operating Margin	45.8%	44.9%	46.9%	46.5%	45.5%
Free Cash Flow	72,764	73,266	18,093	(4,748)	35,598

iQ**method* SM **– Quality of Earnings

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash Realization Ratio	1.3x	1.2x	0.9x	1.5x	1.6x
Asset Replacement Ratio	3.4x	4.3x	6.1x	5.5x	4.1x
Tax Rate	16.4%	16.8%	17.3%	16.7%	16.7%
Net Debt-to-Equity Ratio	1.7%	8.9%	-1.4%	2.8%	2.1%
Interest Cover	NA	NA	NA	NA	NA

Income Statement Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Sales	295,118	342,910	426,880	536,557	677,541
% Change	15.1%	16.2%	24.5%	25.7%	26.3%
Gross Profit	203,712	240,301	302,844	379,273	467,594
% Change	17.0%	18.0%	26.0%	25.2%	23.3%
EBITDA	150,486	175,128	232,522	302,452	388,057
% Change	21.9%	16.4%	32.8%	30.1%	28.3%
Net Interest & Other Income	(15,360)	4,834	93,942	(27,719)	(32,819)
Net Income (Adjusted)	**100,076**	**132,206**	**243,409**	**184,722**	**229,299**
% Change	**35.6%**	**32.1%**	**84.1%**	**-24.1%**	**24.1%**

Free Cash Flow Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Net Income from Cont Operations (GAAP)	100,118	132,170	243,392	184,761	229,334
Depreciation & Amortization	15,311	21,136	32,248	52,948	79,948
Change in Working Capital	(9,343)	618	(1,349)	374	4,128
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	19,213	10,789	(59,875)	47,434	52,354
Capital Expenditure	(52,535)	(91,447)	(196,323)	(290,266)	(330,166)
Free Cash Flow	**72,764**	**73,266**	**18,093**	**-4,748**	**35,598**
% Change	**4.7%**	**0.7%**	**-75.3%**	**NM**	**NM**
Share / Issue Repurchase	(8,879)	(2,269)	(16,283)	(17,500)	(19,100)
Cost of Dividends Paid	(7,363)	(7,616)	(8,810)	(10,037)	(11,325)
Change in Debt	(2,423)	(6,333)	0	0	0

Balance Sheet Data (Dec)

(US$ Millions)	2024A	2025A	2026E	2027E	2028E
Cash & Equivalents	24,048	30,708	128,180	92,869	94,603
Trade Receivables	47,964	62,886	78,146	98,549	123,935
Other Current Assets	99,518	112,444	108,751	113,638	120,161
Property, Plant & Equipment	134,345	246,597	415,918	653,283	903,580
Other Non-Current Assets	96,517	142,646	209,746	210,546	211,346
Total Assets	**402,392**	**595,281**	**940,741**	**1,168,884**	**1,453,626**
Short-Term Debt	0	0	0	0	0
Other Current Liabilities	81,814	102,745	122,448	148,111	184,150
Long-Term Debt	28,725	67,740	118,378	118,178	117,978
Other Non-Current Liabilities	8,474	9,531	12,457	12,457	12,457
Total Liabilities	**119,013**	**180,016**	**253,283**	**278,746**	**314,585**
Total Equity	**283,379**	**415,265**	**687,458**	**890,138**	**1,139,041**
Total Equity & Liabilities	**402,392**	**595,281**	**940,741**	**1,168,884**	**1,453,626**

* For full definitions of *iQmethod*SM measures, see page 22.

Company Sector

Internet/e-Commerce

Company Description

Alphabet is a global technology company focused on key areas, such as search, advertising, operating systems and platforms, enterprise and hardware products. The company generates revenue primarily by delivering online advertising and by selling apps and content on Google Play as well as hardware products. The company provides its products and services in more than 100 languages and in 190 countries, regions, and territories.

Investment Rationale

We see Alphabet as well positioned long term with leading AI technology to apply to search, YouTube, and Cloud businesses. Alphabet should also benefit from increasing mobile usage, video usage, Google Play activity, and connected device activity (including autos). We believe that Alphabet should trade at a premium to a media peer group given technology leadership, high margins, and strong cash flow generation for buybacks.

Stock Data

Average Daily Volume	35,038,132
Shares / Common - Dual Listed	1.00

Quarterly Earnings Estimates

	2025	2026
Q1	2.81A	5.11A
Q2	2.31A	8.38E
Q3	2.87A	3.03E
Q4	2.82A	3.23E

Key Changes

(US$)	Previous	Current
2026E EPS	14.43	19.70
2027E EPS	14.49	14.70
2028E EPS	17.62	18.12
2026E DPS	0.67	0.72

Estimate Changes

We are updating our estimates to reflect strong Cloud growth indicators, Alphabet's recent capital raise, our previously revised higher capex assumptions and recent US$ depreciation. We are slightly lowering Search for FX and raising Cloud revenues given strong customer demand (Anthropic AAR estimated at $45-47bn exiting 2Q vs $19bn exiting March) and backlog that suggests at least $230bn in contracted revenues over next 8 quarters. We also increase 2Q Other income to $81.7bn, which includes $80bn in one-time mark-to-market benefit from Alphabet's stakes in Anthropic (various press reports suggest Alphabet owns ~14% stake in the company and Anthropic was valued at $965bn post the capital raise in May vs $380bn in Feb'26). We now expect 2Q net revenue/EPS of $102.1bn/$8.38. For 2026E, we raise net revenue by 1% to $427bn and EPS by 36% to $19.70. For 2027E, we raise net revenue by 3% to $537bn and EPS by 1% to $14.70.

Exhibit 1: We are raising 2027 GAAP EPS by 1% to $14.70
Alphabet Estimate Changes ($ mn)

	2Q'26 Estimates			3Q'26 Estimates			2026 Estimates			2027 Estimates		
	Old	New	Change	Old	New	Change	Old	New	Change	Old	New	Change
Google Search	$63,829	$63,558	($271)	$65,258	$64,693	($566)	$261,638	$260,323	($1,316)	$294,098	$290,035	($4,064)
YouTube	$10,776	$10,776	$0	$11,184	$11,184	$0	$44,478	$44,478	$0	$48,926	$48,926	$0
Google Network Websites	$7,060	$7,060	$0	$7,133	$7,133	$0	$28,836	$28,836	$0	$28,167	$27,971	($196)
Google Cloud	$22,744	$23,213	$469	$25,303	$26,499	$1,195	$97,395	$100,947	$3,552	$156,376	$173,933	$17,557
Subscription, platforms and devices	$13,206	$13,340	$134	$15,175	$15,304	$129	$56,492	$56,786	$294	$64,750	$65,785	$1,035
Google Gross Revenue	$117,614	$117,946	$332	$124,055	$124,813	$759	$488,839	$491,369	$2,530	$592,317	$606,650	$14,332
Traffic Acquisition Costs (TAC)	$16,047	$16,047	$0	$16,371	$16,371	$0	$65,707	$65,707	$0	$71,682	$71,546	($136)
Google Net Revenue (ex-TAC)	**$101,810**	**$102,142**	**$332**	**$107,900**	**$108,809**	**$909**	**$424,124**	**$426,880**	**$2,755**	**$521,989**	**$536,557**	**$14,569**
Y/Y	*25%*	*25%*	*0.4%*	*23%*	*24%*	*1.0%*	*24%*	*24%*	*0.8%*	*23%*	*26%*	*2.6%*
Other Bets Revenues	$343	$343	$0	$316	$316	$0	$1,422	$1,422	$0	$1,404	$1,404	$0
Y/Y	*-8%*	*-8%*	*0.0%*	*-8%*	*-8%*	*0.0%*	*-7%*	*-7%*	*0.0%*	*-1%*	*-1%*	*0.0%*
Consolidated Gross Revenue	$117,857	$118,189	$332	$124,271	$125,180	$909	$489,831	$492,587	$2,755	$593,671	$608,103	$14,432
Consolidated Net Revenue (ex-TAC)	**$101,810**	**$102,142**	**$332**	**$107,900**	**$108,809**	**$909**	**$424,124**	**$426,880**	**$2,755**	**$521,989**	**$536,557**	**$14,569**
Y/Y	25%	25%	0%	23%	24%	1%	24%	24%	1%	23%	26%	3%
Other Costs of Revenue	$28,647	$28,908	$260	$31,799	$32,434	$636	$121,785	$124,036	$2,251	$148,939	$157,285	$8,346
Gross Profit	$73,163	$73,235	$72	$76,102	$76,374	$273	$302,339	$302,844	$504	$373,050	$379,273	$6,223
Gross Profit Margin	*71.9%*	*71.7%*	*-0.2%*	*70.5%*	*70.2%*	*-0.3%*	*71.3%*	*70.9%*	*-0.3%*	*71.5%*	*70.7%*	*-0.8%*
Research and Dev.	$17,969	$18,139	$170	$19,766	$19,772	$6	$77,497	$77,878	$381	$102,507	$103,430	$923
Sales and Mktg	$8,671	$8,671	$0	$8,758	$8,758	$0	$34,930	$34,930	$0	$40,571	$40,571	$0
G & A	$4,634	$4,634	$0	$4,773	$4,820	$46	$19,236	$19,336	$100	$20,612	$20,812	$200
Total Operating Expenses	$31,274	$31,444	$170	$33,296	$33,349	$52	$131,663	$132,144	$481	$163,690	$164,813	$1,123
% of net rev	*31%*	*31%*	*0%*	*31%*	*31%*	*0%*	*31%*	*31%*	*0%*	*31%*	*31%*	*-1%*
Operating Income - GAAP	**$41,889**	**$41,791**	**($99)**	**$42,805**	**$43,026**	**$221**	**$170,676**	**$170,700**	**$24**	**$209,360**	**$214,460**	**$5,100**
Margin	*41%*	*41%*	*0%*	*40%*	*40%*	*0%*	*40%*	*40%*	*0%*	*40%*	*40%*	*0%*
Incremental Margin	*53%*	*52%*	*-1%*	*57%*	*55%*	*-1%*	*51%*	*50%*	*-2%*	*40%*	*40%*	*0%*
SBC	$7,301	$7,301	$0	$7,501	$7,501	$0	$29,574	$29,574	$0	$35,044	$35,044	$0
Operating Income - non-GAAP	**$49,190**	**$49,092**	**($99)**	**$50,306**	**$50,527**	**$221**	**$200,250**	**$200,274**	**$24**	**$244,404**	**$249,504**	**$5,100**
% of net rev	*48.3%*	*48.1%*	*-0.3%*	*46.6%*	*46.4%*	*-0.2%*	*47.2%*	*46.9%*	*-0.3%*	*46.8%*	*46.5%*	*-0.3%*
D&A	$7,282	$7,382	$100	$8,392	$8,492	$100	$31,848	$32,248	$400	$52,148	$52,948	$800
Stock-based Compensation	$7,301	$7,301	$0	$7,501	$7,501	$0	$29,574	$29,574	$0	$35,044	$35,044	$0
Adj. EBITDA	**$56,472**	**$56,474**	**$1**	**$58,698**	**$59,019**	**$321**	**$232,098**	**$232,522**	**$424**	**$296,552**	**$302,452**	**$5,900**
Margin	*55.5%*	*55.3%*	*-0.2%*	*54.4%*	*54.2%*	*-0.2%*	*54.7%*	*54.5%*	*-0.3%*	*56.8%*	*56.4%*	*-0.4%*
Interest income and other, net	$2,000	$81,700	$79,700	$2,100	$2,000	($100)	$44,016	$123,516	$79,500	$8,125	$7,325	($800)
Income pre-tax and acct. change	$43,889	$123,491	$79,601	$44,905	$45,026	$121	$214,692	$294,216	$79,524	$217,485	$221,785	$4,300
Provision for tax	$7,286	$20,499	$13,214	$7,454	$7,474	$20	$37,623	$50,823	$13,201	$38,767	$37,024	($1,742)
Effective tax rate (Reported)	*16.6%*	*16.6%*	*0.0%*	*16.6%*	*16.6%*	*0.0%*	*17.5%*	*17.3%*	*-0.2%*	*17.8%*	*16.7%*	*-1.1%*
Net income - GAAP	$36,604	$102,991	$66,387	$37,451	$37,551	$101	$177,070	$243,392	$66,323	$178,718	$184,761	$6,043
Net income - non-GAAP	$42,693	$109,080	$66,387	$43,677	$43,777	$101	$201,531	$267,854	$66,323	$207,476	$213,918	$6,442
Diluted GAAP EPS	**$2.99**	**$8.38**	**$5.39**	**$3.05**	**$3.03**	**($0.02)**	**$14.43**	**$19.70**	**$5.26**	**$14.49**	**$14.70**	**$0.21**
Diluted shares	12,256	12,292	35	12,281	12,408	127	12,267	12,356	89	12,330	12,566	236
Capital expenditures	$49,887	$50,050	$163	$52,871	$53,316	$445	$195,000	$196,323	$1,324	$290,000	$290,266	$265
Headcount	196,268	196,468	200	199,268	199,468	200	200,168	200,568	400	210,168	210,568	400

Source: BofA Global Research Estimates

BofA GLOBAL RESEARCH

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2Q'26 Key Metrics

Exhibit 2: We are above Street for 2Q Revenue and EPS
2Q Key Metrics ($mn except per share basis)

Metric	BofA Ests.	Consensus	Comments
Gross revenue	$118,189	$117,097	We are above Street and expect 2Q gross revenue up 23% y/y (1pt acceleration vs 1Q)
Net revenue	$102,142	$101,047	We are above Street and expect net revenue up 25% y/y (1pt acceleration vs 1Q)
Total Search revenue	$63,558	$63,270	We are above Street and expect Search to grow 17% y/y (2pt decel q/q on 2pt tougher comp)
YouTube revenue	$10,776	$10,793	We are slightly below Street and expect YouTube to grow 10% y/y (1pt decel on 3pts tougher comp)
Cloud revenue	$23,213	$22,461	We are above Street and expect Cloud revenue to grow 70% y/y (7pts accel on 4pts tougher comp)
Other Bets revenue	$343	$399	We are below Street and estimate Other Bets revenue to decline 8% y/y (vs down 9% y/y in 1Q)
Int'l revenue	$59,331		We estimate international revenue will be up 18% y/y (vs +22% y/y in 1Q)
FX benefit/impact	$773	$466	We estimate $0.8bn FX benefit in 2Q
Opex	$31,444	$30,673	We estimate Opex at 30.8% of revenue, up 9% q/q (or up 20% y/y)
TAC	$16,047	$16,258	We are slightly below Street & estimate TAC up 0.1pt and 0.2pt q/q to 69.7% and 15.0% respectively
Other Bets GAAP Income	-$2,175		We estimate $2,175mn losses in 2Q (vs $2,100mn losses 1Q)
EBITDA (ex. SBC)	$56,474	$55,743	We are above Street for 2Q EBITDA
EBITDA Margin	55.3%	55.2%	We estimate 55.3% margin in 2Q'25 (vs 51.7% margin in 2Q'25 and 51.7% margin in 2Q'24)
GAAP EPS	$8.38	$2.90	We are above Street estimates for diluted GAAP EPS
Employees	196,468	191,050	We are above Street and estimate headcount to increase by 1,800 q/q in 2Q (vs 3,848 increase in 1Q)
Capex	$50,050	$44,376	We estimate Capex at 49% of net revenues and up 40% q/q (up 123% y/y)
Free cash flow	$1,405	$2,034	We estimate 1% FCF yield or $0.11/share

Source: BofA Global Research estimates, Bloomberg, Visible Alpha

BofA GLOBAL RESEARCH

BofA Estimates vs Consensus

We now estimate 2Q'26 Rev/GAAP EPS of $102.1bn/$8.38 vs Street at $101.0bn/$2.90. We expect 2Q net revenue growth of 25% y/y, total expense up 17% y/y (up 9% q/q) and GAAP operating margins to expand 265bps y/y to 40.9% (down 102bps q/q). For 3Q'26, we estimate Rev/GAAP EPS of $108.8bn/$3.03 vs Street at $107.9bn/$3.02.

Exhibit 3: We are above Street for 2026 Revenue and EPS
Alphabet Estimate Summary

	2Q'26	3Q'26	2026	2027
Net Revenue				
BofA est.	$102,142	$108,809	$426,880	$536,557
Y/Y%	*25.0%*	*24.4%*	*24%*	*26%*
Street	$101,047	$107,867	$424,400	$517,433
Y/Y%	*23.6%*	*23.3%*	*24%*	*21%*
BofA vs Street	Above	Above	Above	Above
GAAP EBITDA				
BofA est.	$49,173	$51,518	$202,948	$267,408
Margin	*48.1%*	*47.3%*	*48%*	*50%*
Street	$48,600	$51,517	$203,133	$255,816
Margin	*48.1%*	*47.8%*	*48%*	*49%*
BofA vs Street	Above	Above	Below	Above
GAAP EPS				
BofA est.	$8.38	$3.03	$19.70	$14.70
Street	$2.90	$3.02	$14.25	$14.60
BofA vs Street	Above	Above	Above	Above

Source: BofA Global Research estimates, Visible Alpha

BofA GLOBAL RESEARCH

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2Q'26 Preview Summary

2Q'26 expectations vs Street

Alphabet is scheduled to report 2Q results on April 22 (Wednesday), after market close. We estimate 2Q'26 Rev/GAAP EPS of $102.1bn/$8.38 vs Street at $101.0bn/$2.90, with Search revenue growth of 17.3% y/y (vs Street 17%) and Cloud 70% (vs Street 65%). We think Street expectations in the results could be for Search growth around 16-17% and Cloud growth of around 70%. For Search, third-party data and checks suggest strength in retail, offset somewhat by travel and CPG. For Cloud, Google has been accelerating capacity expansion to meet strong demand, and we think revenues will reflect strong capacity growth. We view Google's recent capital raise, news on Google limiting capacity to certain clients, and Amazon Cloud price increase as a positive signal for cloud demand and continue to see upside to Street estimates. We now expect $3.2bn in q/q Cloud revenue growth in 2Q vs $2.3bn in 1Q as 2Q has historically been a higher sequential growth quarter.

Google is the first large cap Internet stock to report 2Q, and results will provide a read for advertising growth across the sector and help frame expectations for Cloud growth and capex. We expect Google to offer similar language on 2027 capex growth (up significantly), and Street to raise its 2027 capex outlook (with buyside likely already above sellside).

Key areas for Google to potentially address on call (we expect questions on these areas):

- Reasons for recent capital raise and thoughts on future FCF,
- Confidence in ROIs on significant capital spend, and how additional capacity will be split between core and cloud businesses,
- Drivers of search "expansionary moment" commentary, including usage and ad pricing,
- Growth in corporate expenses driven by AI model training,
- Reasons for delay in public launch of Gemini 3.5 Pro and outlook for future model releases,
- TPU sales contribution, business model (net vs gross), and margin commentary,
- High perceived cost of external capacity deals, and
- Loss of high-profile AI talent.

2Q BofA estimates vs Street

For Search, we estimate 2Q revenues of $63.6bn (vs Street at $63.3bn per Visible Alpha), with growth expected to decelerate 2pt q/q to 17% on a 2pts tougher y/y comp. For YouTube, we estimate revenue of $10.8bn (in line with Street), with growth expected to decelerate 1pts q/q to 10% on 3pts tougher y/y comp. For Cloud, we estimate revenues of $23.2bn (vs Street at $22.5bn), with growth accelerating 7pt q/q to 70% y/y on a 4pt tougher y/y comp. We estimate Other revenues of $13.3bn (vs Street $13.0bn), with growth stable q/q at 19% y/y on 1pts tougher y/y comp.

eCommerce data and checks suggests solid 2Q for advertising

Our latest Internet advertising survey suggests healthy demand in the quarter (See our note: BofA Internet Advertiser survey: 2Q tracking well, Google taking share), while our channel check suggest 2Q ad spending on major platforms was tracking slightly ahead of initial expectations. Some spending was temporarily paused in April amid macro uncertainty but was subsequently released in May. Checks also highlighted that faster AI-driven product innovation is helping the larger platforms gain incremental spend.

For YouTube, our checks suggest that growth is expected to modestly decelerate in 2Q (vs 1Q). Google's expanding Gen-AI creative toolkit is reducing friction in video advertising by simplifying asset creation and campaign execution. However, while YouTube continues to innovate with AI, Google Search is improving faster, causing automated tools like PMax to shift incremental spend toward Search.

Rising AI token costs suggests strong AI demand and pricing power

Bloomberg's Silicon Data LLM Token Expenditure Index tracks the blended cost of using large language models, expressed in dollars per million tokens across major providers. The index aggregates pricing and usage data across models and normalizes for factors such as token mix, context length, and workload characteristics. As a result, it captures the broader economics of AI output, reflecting not only underlying compute costs but also efficiency gains, model mix shifts, and provider pricing behavior. In 2Q'26, the index value increased 23% q/q, suggesting robust AI compute demand and improving pricing power for model and infrastructure providers.

Exhibit 4: In 2Q'26, the token index value increased 23% q/q
Bloomberg Silicon Data LLM Token Expenditure Index

Source: Bloomberg

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Expenses and Profitability

In 2Q'25, we expect net revenue to grow 25% y/y vs total expenses +17% y/y (Opex +20% y/y), with overall operating margins expanding 265bps y/y (down 102bps q/q) to 40.9%. We estimate 2Q gross margins to increase 147bps y/y (down 79bps q/q), and Opex of $31.4bn (vs Street $30.7bn). Our expense estimate includes $7.4bn of depreciation expense (vs Street $8.0bn), up 48% y/y (vs up 44% y/y in 4Q) and up 14% q/q. Excluding D&A, we estimate total expenses to grow 15% y/y in 2Q (vs +16% in 1Q).

Job postings data suggests continued hiring activity. The average number of postings in 2Q increased 11% q/q (vs up 24% q/q in 1Q). Street estimates 2Q headcount to increase 1% q/q (+1.2k employees, +5% y/y). There is modest risk that headcount comes in higher than expected. However, we think AI-driven efficiency gains across the business should help offset incremental costs and support margin durability.

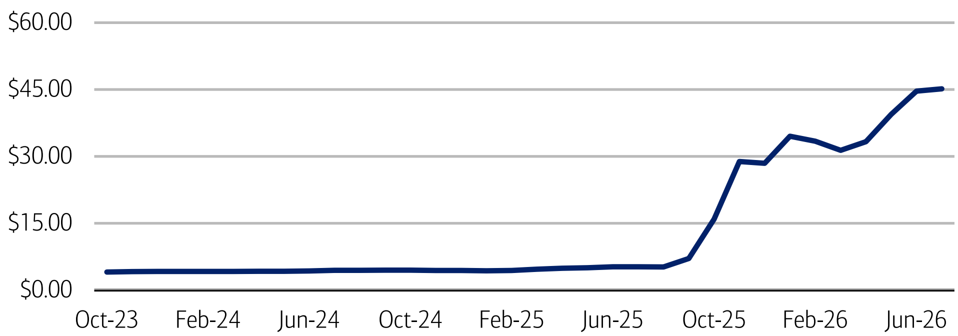
We expect Alphabet's Other Income in 2Q'25 to benefit from broader market strength (NASDAQ composite up 21% q/q in 2Q vs down 7% q/q in 1Q) and potential revaluation of Anthropic stake. Alphabet's other prominent private and public investments that could be impacted by mark-to-market include UiPath, Stripe, and Duolingo. We now estimate 2Q Other income of $81.7bn, which includes $80bn in one-time mark-to-market benefit from Alphabet's stakes in Anthropic (various press reports suggest Alphabet owns ~14% stake in the company and Anthropic was valued at $965bn post the capital raise in May vs $380bn in Feb'26).

Capex

On 1Q'26 earnings call, Alphabet increased FY26 capex guide to $180-$190bn (vs $175-$185bn previously) and noted expectations for FY27 capex to significantly increase compared to 2026. Alphabet is investing in compute capacity to support significant Cloud customer demand, frontier model development, improve the user experience, and drive higher advertiser ROI. Given higher component pricing (like memory, etc.), we think Google could increase FY26 capex range by ~5% to $190-$200bn (BofA estimates at $196bn). We do not expect Alphabet to guide to specific 2027 capex on this call but we think Street expectations could be in the $270-$300bn range (BofA at $290bn).

Exhibit 5: Given higher component pricing (like memory, etc.), we think Google could increase FY26 capex range by ~5%

DRAM Memory Spot price (2023 – Present)



Source: Bloomberg

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We estimate 2Q capex spend of $50.1bn (up 40% q/q and 123% y/y) and FCF of $1.4bn (down 73% y/y and 1% of net revenue). Given Google's extensive AI investment and growing Cloud business, we think the company's capex spend could be relatively efficient vs peers, likely benefiting from TPU usage for internal AI capabilities. We estimate FY26 FCF of ~$18bn (down 75% y/y).

Key drivers of stock sentiment

Four drivers of Alphabet sentiment on quarters are: 1) Y/Y revenue trajectory, 2) Y/Y margin trajectory, 3) Capital allocation, and 4) new disclosures/outlook.

- **Neutral to positive for revenue trajectory:** We expect healthy revenue growth across all business lines with net revenue growth accelerating 1pts q/q to 25% y/y. We expect Search and YouTube growth to decelerate on tough comps/less FX benefit and Cloud growth to accelerate (despite tough comps) given strong enterprise AI demand and new capacity coming online.
- **Positive on margin trajectory:** We estimate 2Q Opex of $31.4bn (vs Street $30.7bn) due to Cloud upside and expect operating margins to expand 265bps y/y (down 102bps q/q) to 40.9%, with core service margins up 429bps y/y (down 94bps q/q) to 44.3% and Cloud margins up 12.3pts y/y to 33.0%.
- **Neutral to negative for capital allocation:** We do not expect any share repurchases in 2Q or for the remainder of 2026. Following the $45bn hybrid capital raise completed in early June, Alphabet has indicated it plans to begin $40bn at-the-market equity program from 3Q. We forecast diluted share count to increase q/q.
- **Neutral to positive on disclosures:** We think Google has a lot to highlight on the AI side, potential disclosures could include:
  - Frontier AI: Gemini 3.5 Flash traction metrics and broader AI product pipeline (agents, AI integrations, etc.),

- Search: Monetization progress from new AI ad formats, AI-driven Search engagement trends,
- YouTube & Subscription: Shorts monetization progress, and subscription growth,
- Cloud: New large cloud contract wins, demand/supply outlook, potential external TPU monetization,
- Other bets: Waymo commercial rollout progress and geographic expansion.

Potential 2Q positives versus expectations could include:

1) Upside in Search and YouTube ad growth, aided by healthy eCommerce end markets and Gemini capabilities integration,
2) Cloud acceleration aided by new capacity and demand for Gemini LLM & TPUs,
3) Core margin upside driven by AI query efficiencies and headcount management,
4) Greater transparency on AI metrics, including AI search query mix, conversion rates for AI versus traditional queries, and AI workload share in Cloud,
5) Higher than expected Cloud margin expansion driven by healthy core pricing and higher TPU workloads,
6) Continued strength in subscription revenues (YouTube Premium, Music, TV),
7) Commentary suggesting strong TPU demand with more details on TPU business model.

Potential negatives could include:

1) Deceleration in Search growth fueling concerns on diminishing AI benefits,
2) Any data/disclosures that suggests the AI transition is pressuring search usage, monetization or costs,
3) Soft YouTube results amid sluggish brand budget market and shift to search,
4) Less Cloud acceleration than expected as expectations are high following recent capital raise and strong Anthropic ARR growth,
5) Lower-than-expected Cloud backlog growth due to fewer new large AI deals,
6) Higher Opex commentary suggesting future potential margin pressure stemming from elevated D&A and intensified AI talent competition,
7) Upside revision to 2026 capex guide fueling investor concerns about capital efficiency and ROI,
8) Call commentary suggesting possible 3Q deceleration in growth on tougher comps & FX.

Possible questions for the 2Q earnings call include:

1) Recent DeepMind departures and AI talent strategy,
2) Capex capacity growth expectations (in GW) and ROIs,
3) Further clarification on 2027 capex growth, which is expected to increase significantly y/y,
4) High perceived cost of SpaceX capacity deal,
5) Factors behind delay in launch of Gemini 3.5 Pro (initially planned for June),
6) Outlook for Gemini 4 release,

7) Impact of a higher mix of AI-generated results on queries, load, click-through rates, and overall Search monetization,

8) Thoughts on 3Q ad market,

9) Details on TPU business model (revenues in backlog, gross vs net accounting, margins),

10) Potential cost-efficiency levers to offset incremental AI-related expenses,

11) Strategic rationale and financial implications of Cloud partnerships (e.g. rumored TPU venture with Blackstone), including impact on future capex and margins,

12) Influence of CTV ad growth on YouTube advertising demand and mix,

13) Impact from new competitive models (Mythos 5, GPT 5.6 SOL, etc.) on Cloud growth and AI positioning.

Constructive on AI positioning & Cloud upside potential; reiterate Buy

We think Alphabet remains well positioned to drive outsized advertising and Cloud growth given favorable positioning across foundational models, custom silicon, consumer distribution, and enterprise distribution. As both consumer and enterprise adoption of AI services increases, especially for Cloud, it could support more durable revenue growth (less cyclical) and a higher valuation. For Search, we think an increasing percentage of queries served in AI-native formats and more advanced AI models can improve monetization (especially zero click queries) and drive upside.

Risk is relatively elevated expectations for Cloud revenues, valuation (versus recent history), and new competitive product launches (new LLMs from OpenAI and Anthropic, OpenAI ad ramp, hardware device launch, etc.) could weigh on relative AI sentiment. Also, if the street turns more cautions on capex ROI for the sector (excess capacity = Cloud pricing risk), Google could see valuation multiple pressure.

Valuation and Sum of the Parts

At GOOG stock price of ~$370, Alphabet is valued at 25x our GAAP 2027 EPS, vs a 10-year historical range of 14x-30x and average of 22x. In the last 10yrs, Alphabet has traded at an average 4pts premium to S&P 500 and is currently at 6pt premium.

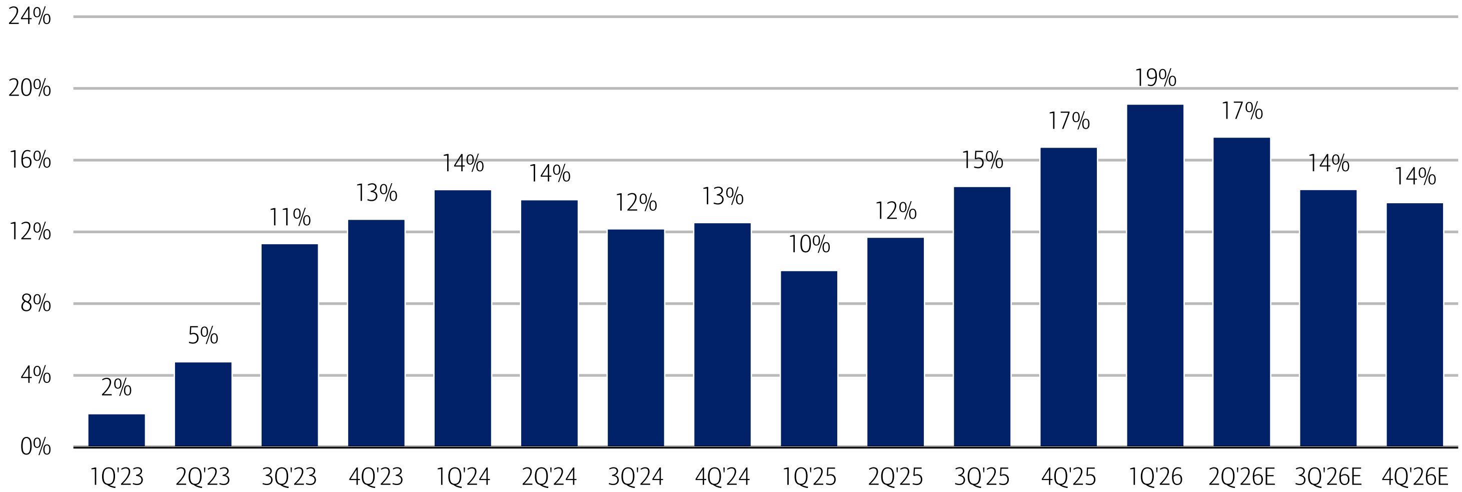
Backing out our estimated values for YouTube, YouTube Subscription, Cloud, Waymo, and cash, as well as the potential earnings contribution from YouTube, and $8.7 bn in after-tax losses from Other Bets investments, we estimate the implied valuation on core Google advertising and Play businesses at 17x 2027E earnings, vs the S&P 500 at 20x (assuming 2027 EPS of $375).

Top Segment Overview

Search

For 2Q'26, we now estimate Search and other revenue growth to decelerate 2pts q/q to 17% on a 2pts tougher y/y comp. While not reported specifically for search, we estimate FX could be a 2pt tailwind for Search 2Q growth (vs 4pts in 1Q). ex-FX, we expect Search growth stable q/q at 15%.

Exhibit 6: In 2Q, we estimate Search and other revenue growth to decelerate 2pt q/q to 17% on a 2pt tougher y/y comp.
Google Search & Other Revenue Y/Y Growth (%)



Source: BofA Global Research estimates, company filings

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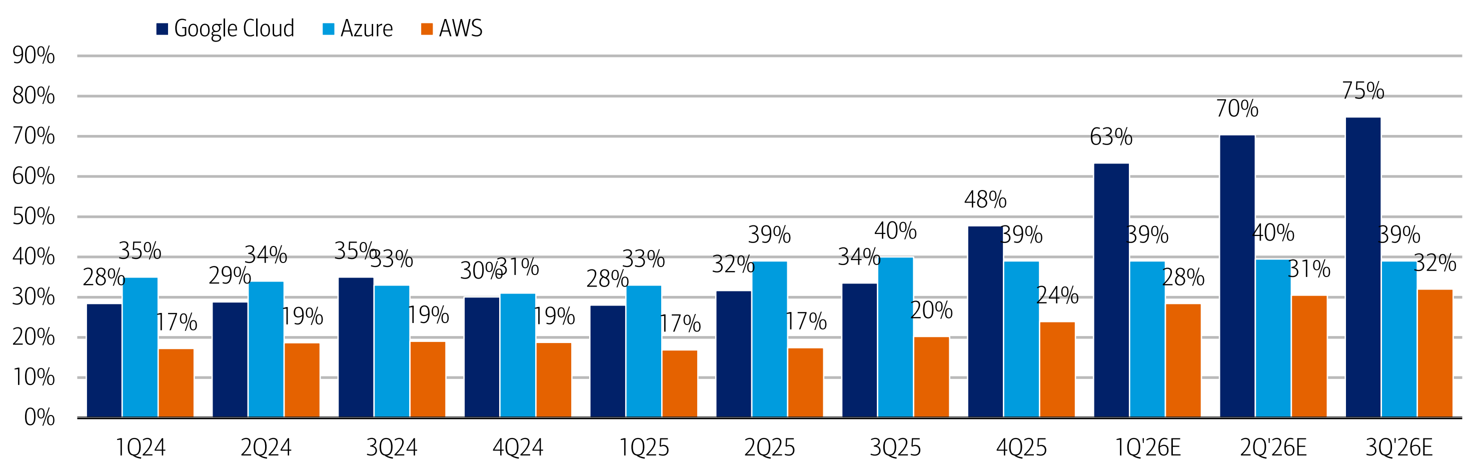
YouTube advertising

In 2Q, we now expect YouTube ad revenue of $10.8bn (in line with Street) with growth expected to decelerate 1pts q/q to 10% on 3pts tougher y/y comp. We think YouTube ad revenue could be seeing some pressure from a shift to ad-free subscription services and Google's internal models moving some client ad spend to search vs. YouTube.

Cloud

For 2Q, we now expect total Cloud revenue growth to accelerate 7pts q/q to 70% y/y on 4pts tougher y/y comp and estimate revenues of $23.2bn (vs Street at $22.5bn). We estimate Cloud operating income of $7.7bn (33.0% margin) vs Street at $7.0bn (31% margin). Our 2Q'26 IaaS growth estimate (ex-Workspace) is at 79% compared to Azure at 40% growth and AWS at 31%. We think Gemini and TPU use for Google Cloud can drive further y/y margin growth. For 3Q'26, we estimate Google Cloud revenue to grow 75% y/y to $26.5bn (vs Street $25.4bn).

Exhibit 7: For 2Q, we expect Cloud revenue growth to accelerate 7pts q/q to 70% y/y on a 4pts tougher comp
Y/Y Growth for Google Cloud, Azure and AWS (%) – Actual & BofA Estimates



Source: Company Filings, BofA Global Research Estimates

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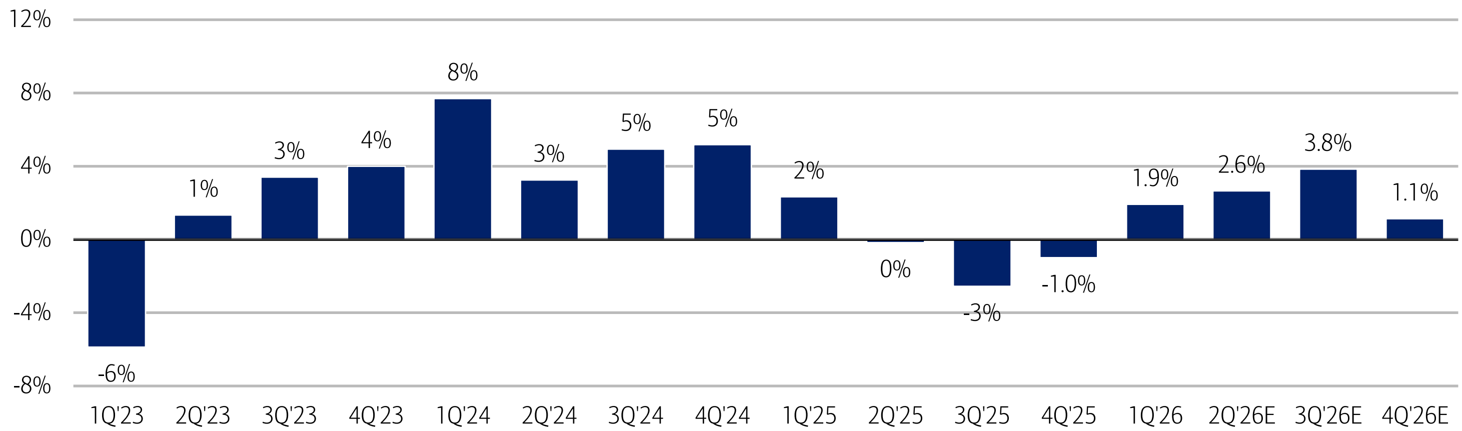
Expenses

In 2Q'25, we expect net revenue growth (25% y/y) vs Opex growth (up 17% y/y) with overall operating margins expected to expand 265bps y/y (down 102bps q/q) to 40.9%. We estimate 2Q gross margins to increase 147bps y/y, and Opex of $31.4bn (vs Street $30.7bn). Our expense estimate includes $7.4bn of depreciation expense (vs Street $8.0bn). Excluding D&A, we estimate Alphabet's expense base to grow 15% y/y in 2Q (vs +16% in 1Q).

Exhibit 8: In 2Q26, we estimate overall Google operating margins to increase 265bps y/y (down 102bps q/q) to 40.9%
Y/Y Change in Operating Margin



Source: BofA Global Research estimates, company filings

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1x items that could negatively impact 2Q/3Q expenses could include:

- In July'26, A Swedish court ordered Google to pay approximately $1.5bn (SEK 14.3bn) in antitrust damages to PriceRunner,
- In June'26, YouTube reached a confidential settlement in a lawsuit brought by a Florida teenager who alleged the platform's addictive design contributed to mental health issues,
- In Apr'26, Google agreed to pay $135mn to resolve allegations that Android devices transmitted user data over cellular networks without clear consent.

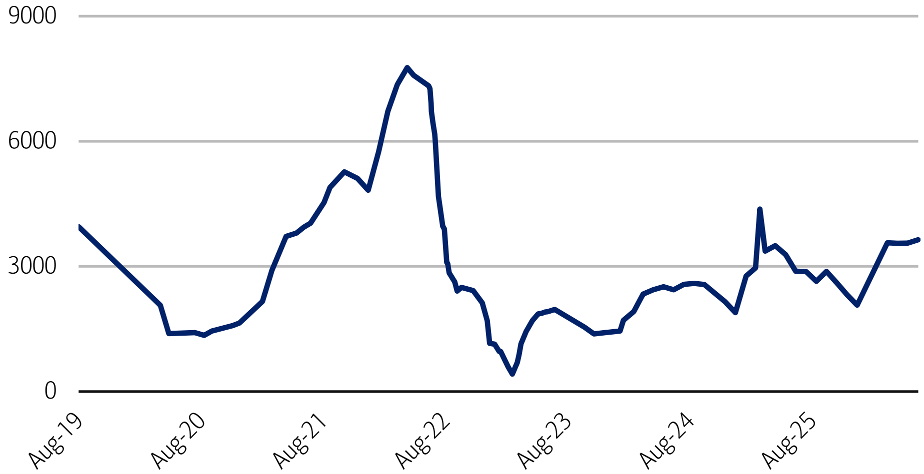
On a side note:

- In June'26, Google lost its final appeal against a $4.7bn EU antitrust fine related to Android (EU had imposed this fine on Alphabet in July 2018 and the company had already accrued it 3Q'18 earnings).

Job Postings - 2Q data suggests higher job openings vs 1Q

We reviewed Google job postings data from Google Careers and note that average number of postings in 2Q increased 11% q/q (vs up 24% in 1Q), suggesting continued hiring, though at a measured pace. Last year, Google did multiple minor restructurings across the business, which included Cloud staff reductions and voluntary buyouts in Search & Ads, suggesting management continues to manage headcount. Street estimates 2Q headcount to increase 1% q/q (+1.2k employees, +5% y/y). There is modest risk that headcount comes in higher than expected, which could pressure the EPS outlook. However, we think AI-driven efficiency gains across the business should help offset incremental costs & support margin durability.

Exhibit 9: Google is growing headcount with a small increase in q/q job postings
Alphabet Global Job Postings



Source: Google Careers

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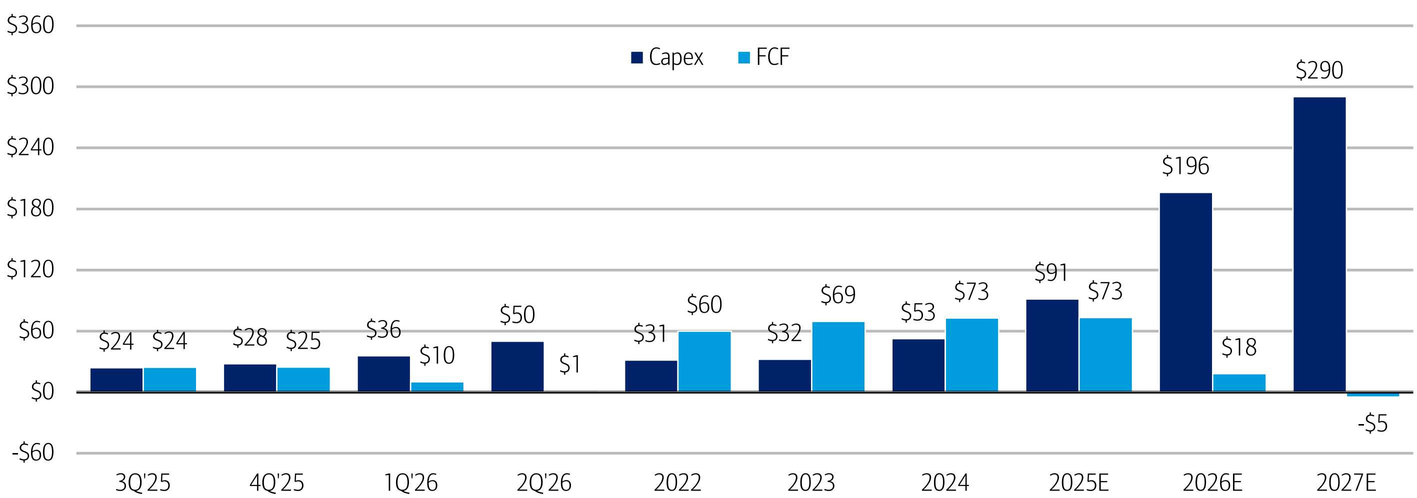
Capex

On 1Q'26 earnings call, Alphabet increased FY26 capex guide to $180-$190bn (vs $175-$185bn previously) and noted expectations for FY27 capex to significantly increase compared to 2026. Alphabet is investing in compute capacity to support significant Cloud customer demand, frontier model development, improve the user experience, and drive higher advertiser ROI in Google Services. Given higher component pricing (memory, etc.), we think Google could increase FY26 capex range by ~5% to $190-$200bn (BofA estimates at $196bn).

We estimate 2Q capex spend of $50.1bn (up 40% q/q and 123% y/y) and FCF of $1.4bn (down 73% y/y and 1% of net revenue). Given Google's extensive AI investment and growing Cloud business, we see company's capex spend as relatively efficient vs peers, likely benefiting from TPU usage for internal AI capabilities. We estimate FY26 FCF of ~$18bn (down 75% y/y).

Exhibit 10: We estimate 2026 capex of $196bn (up 115% y/y) and FCF of $18bn (down 75% y/y)
Alphabet Capex and FCF Estimates ($ bn)



Source: BofA Global Research Estimates, Company Filings

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Other Items

Possibly less FX benefit than in estimates

Since Google reported 1Q'25 earnings on 4/29, the Euro/US$ has depreciated 2% to $1.14, the UK Pound/US$ has depreciated 1% to $1.34, and the Yen/US$ is down 2% to $0.0062. On a Y/Y basis, for 2Q'26, the Euro was up 2% vs the US$, the GBP was down 1%, the Yen was down 9%, and other currencies in the basket we track were up 5% y/y. We estimate $0.8bn FX benefit in 2Q'26 vs 3.0bn FX benefit in 1Q'26. At current exchange rates, we expect an FX headwind of $0.8bn in 3Q (vs Street estimates for a $0.2bn tailwind).

Exhibit 11: FX likely a headwind in 3Q
Expected Y/Y % change in spot rates based on current rates

	Y/Y Change			
	Euro	GBP	Yen	Other
2Q25	5%	6%	8%	2%
3Q25	6%	4%	1%	3%
4Q25	9%	4%	(1%)	6%
1Q26	11%	7%	(3%)	11%
2Q26	2%	(1%)	(9%)	5%
3Q26E	(2%)	(1%)	(9%)	2%
4Q26E	(2%)	1%	(5%)	2%
1Q27E	(2%)	(1%)	(3%)	(1%)

Source: Bloomberg; *Other includes the following: Asian (KRW, AUD, HKD, INR, CNY), Europe (SEK, CHF)

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Gain/(loss) on equity securities

Google owns a significant amount of public and private securities, which are marked to market each quarter. Broader market and tech sector valuations were up in 2Q'26 (NASDAQ composite was up 21%), and with annual cash interest rate of ~4% (~1%/quarter), there was a positive public other income backdrop for 2Q. Potential 1x impact to Alphabet's Other Income in 2Q'26 could include upside from SpaceX and Anthropic revaluations. Alphabet's other prominent private and public investments that could be impacted by mark-to-market include UiPath, Stripe, and Duolingo. We model 2Q Other income of $81.7bn, which includes $80bn in one-time mark-to-market benefit from Alphabet's stakes in Anthropic (Anthropic was valued at ~$965bn post capital raise in May vs $380bn in Feb'26).

Valuation

At GOOG stock price of ~$370, Alphabet is valued at 25x our GAAP 2027 EPS, vs a 10-year historical range of 14x-30x and average of 22x. Backing out our estimated values for YouTube, YouTube Subscription, Cloud, Waymo, and cash, as well as the potential earnings contribution from YouTube, and $8.7 bn in after-tax losses from Other Bets investments, we estimate the implied valuation on core Google advertising and Play businesses at 17x 2027E earnings, vs the S&P 500 at 20x (assuming 2027 EPS of $375).

Exhibit 12: Alphabet core services sum-of-the-parts valuation analysis based on GOOG share price of ~$370
Alphabet Sum-of-the-Parts and Core Valuation Analysis on 2027 estimates

Alphabet Sum of the Parts Valuation (2027 Estimates)						
	Mkt Cap	Net Revenue	P/S	Net income	P/E	Comment
Alphabet Total	$4,572	$537	8.5x	$185	25x	
YouTube	($196)	($49)		($4.9)	40x	4.0x revenues (peers at 3-5x), assumes 12% profit margin and a 17% tax rate
Subscription	($137)	($46)		($3.8)		Assumes 3x P/S multiple and 10% margin & 17% tax rate
Google Cloud Profit/Losses	($1,739)	($174)		($49.7)		Assumes 10x P/S and 20% margins in 2026 and a 17% tax rate
Waymo	($83)	$0		$0.0		Reflects time horizon, potential technology value at $110bn valuation and 75% stake
Other Bets losses		($1)		$8.7		Waymo loss included, and incorporates a 17% tax rate
YE'26 Cash & Equivalents	($217)			($5.4)		Excludes net cash, est. 3% interest income and 17% tax rate
Google core services	$2,200	$267	8.3x	$130	17x	

Source: BofA Global Research Estimates

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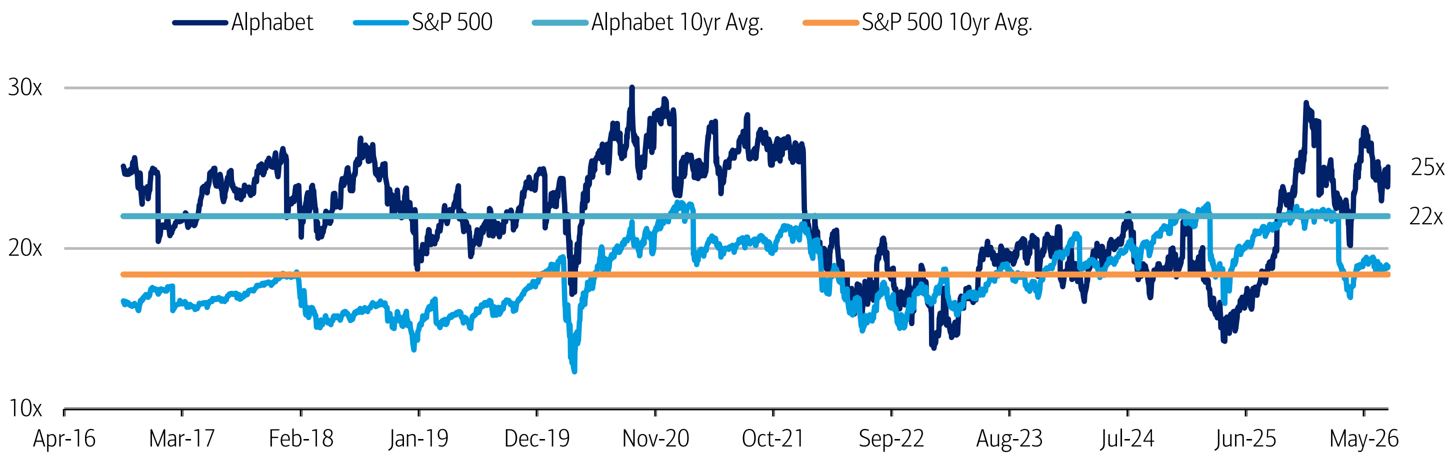
On 2yr forward GAAP P/E basis, Alphabet is currently valued at 25x Street estimates (14% above a 10yr historical average of 22x) and 10-year historical range of 13x-30x.

Exhibit 13: Alphabet is currently valued at 25x Street estimates (14% above a 10yr historical average of 22x)
Alphabet & S&P 500 2yr Forward GAAP PE Multiple



Source: Bloomberg

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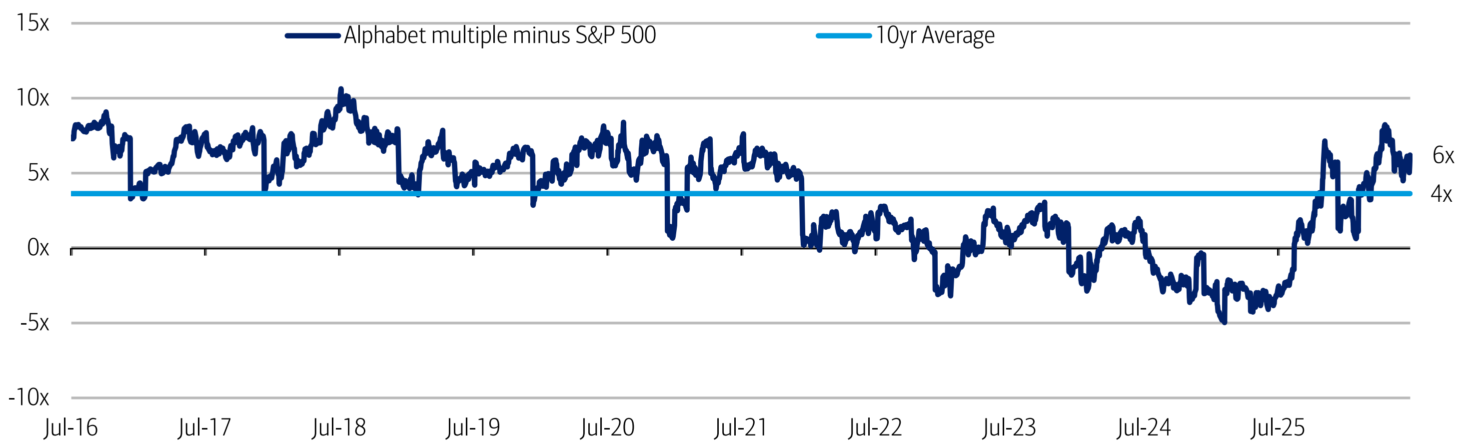
In the last 10yrs, Alphabet has traded at an average 4pts premium to S&P 500 and is currently at roughly 6pt premium. Since Nov 2022 (after launch of ChatGPT), Alphabet has been valued relatively in line with the S&P 500.

Exhibit 14: Alphabet has traded at an average 4pts premium to S&P 500 and is currently at roughly 6pt premium
Alphabet relative valuation premium/discount vs S&P 500



Source: Bloomberg

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Recent news & developments

Swedish court orders Google to pay $1.5bn in antitrust damages

In July'26, Sweden's Patent and Market Court ordered Google to pay approximately SEK 14.3bn, or ~$1.5bn, in damages to PriceRunner, Klarna's price-comparison unit, after ruling that Google unlawfully favored its own comparison-shopping service in search results over rivals for many years. The case follows the EU's 2017 Google Shopping antitrust decision, which found Google abused its dominant search position, and subsequent appeals that upheld the ruling.

Alphabet leases ~110K GPUs from SpaceX under multi-year deal

Per SpaceX's public SEC filings, on June 5, 2026, Alphabet entered into a Cloud service agreement to access additional compute capacity. Under the deal, Alphabet will lease infrastructure comprising approximately 110,000 NVIDIA GPUs, along with CPUs, memory, and related components. Per the filing, Google has committed to pay ~$920mn per month from October 2026 through June 2029, with capacity ramping through September at a reduced fee. Beginning in 2027 the agreement is cancelable by either party with 90 days' notice. *Our take: We expect some concerns on the perceived cost of capacity under this deal (possibly as high as $50bn per GW), and also some questions on why Google would be buying more capacity while, at the same time, entering into longer-term agreements to sell TPUs. In our view, this deal suggests that Alphabet sees significant value in having immediate access to capacity in 2026. See our note: Alphabet to lease ~110K GPUs from SpaceX under multi-year deal.*

Alphabet raises $85bn in capital

Alphabet raised $44.75bn in equity capital and announced plans to raise another $40bn at-the-market program (expected to start in 3Q'26). The total raise of ~$85bn will support AI infrastructure buildout and fund tax obligations. The $44.75bn raise includes $34.75bn in hybrid equity (including a $18bn convertible preferred and $16.75bn depositary shares) and $10bn strategic investment from Berkshire Hathaway. The mandatory convertible preferred offering carries a dividend of 6.25%. Alphabet noted proceeds will be used for general corporate purposes, including funding AI compute infrastructure to meet "unprecedented AI demand" that is "exceeding available supply". Alphabet also noted some proceeds from the ATM program will be used to fund CY26 tax obligations, including employee equity compensation.

Alphabet issues $17bn in debt

On May 11, 2026, Alphabet closed its concurrent underwritten public offerings of €9 billion aggregate principal amount of euro-denominated senior notes and C$9.5 billion aggregate principal amount of Canadian dollar-denominated senior notes. The Euro Notes consist of €1.5bn aggregate principal amount of 3.200% notes due 2030, €1.75bn aggregate principal amount of 3.450% notes due 2032, €1.5bn aggregate principal amount of 3.625% notes due 2034, €1.75bn aggregate principal amount of 4.100% notes due 2039, €1.25bn aggregate principal amount of 4.500% notes due 2045 and €1.25bn aggregate principal amount of 4.800% notes due 2063. The Canadian Notes consist of C$1.5bn aggregate principal amount of 3.650% notes due 2031, C$2.0bn aggregate principal amount of 4.000% notes due 2033, C$2.25bn aggregate principal amount of 4.350% notes due 2036 and C$2.75bn aggregate principal amount of 5.000% notes due 2056. Per our calculation, the average interest rate on $10.3bn Euro notes is 3.90% ($400mn/year interest) and $7.3bn Canadian notes is 4.35% (~$300mn/year interest).

Google partnering for new venture, leveraging TPUs

Per the WSJ, Alphabet and Blackstone are planning to launch a new AI cloud company leveraging Google's TPU infrastructure. The venture is expected to be majority-owned by Blackstone, which will commit $5bn in equity capital while Google will provide the underlying hardware (including TPUs), along with software and services. The report noted that the companies are targeting ~500MW of capacity by 2027 (for reference we estimate AWS at 16GW at year end 2025) and have already identified a pipeline of data centers, some of which are already under construction. The new company will reportedly use debt leverage to help fund investments. *Our Take: The new venture could accelerate ecosystem adoption and monetization of TPU capacity, a positive for Google. However, we wonder why TPU capacity sales through the new venture would be beneficial for Google vs direct sales to customers. Possible positives include external funding commitments for TPU capacity (preferable to internal funding?), and Google could see equity upside. We expect investor questions on Google's financial commitments to the venture. See our note: Google planning to extend TPU reach with new venture.*

Gemini 3.5 Pro launch shifts to July

Per press reports, Google has delayed the launch of Gemini 3.5 Pro from June to July as it continued refining the model. Google had previously indicated at its May I/O developer conference that the model would launch the following month, but it was now targeting July while collecting feedback from early testers and making model adjustments. Gemini 3.5 Pro had been available to some users through Google's Antigravity platform and the LMArena benchmarking site. The model is expected to improve performance on long-horizon tasks and agentic workloads, and Google was also incorporating feedback from Gemini 3.5 Flash, including comments related to token usage.

Google may be limiting Meta's Gemini capacity availability

In late June, an FT report suggested Google has limited Meta's use of its Gemini AI models after Meta sought more compute capacity than Google could provide. According to the report, Google told Meta around March that it could not meet the full volume of Gemini capacity Meta wanted to purchase, which may have delayed some of Meta's internal AI projects. The report also noted that other Google customers were also affected, though Meta was more impacted because of its larger demand for Google's models. Meta reportedly asked employees to use AI tokens more efficiently following the limits.

AlphaFold co-creator John Jumper to leave Google DeepMind for Anthropic

In mid-June, John Jumper, a senior research scientist at Google DeepMind and co-creator of AlphaFold, said he to join Anthropic. Mr. Jumper shared the 2024 Nobel Prize in Chemistry with Google DeepMind CEO Demis Hassabis and is best known for helping develop AlphaFold, which has predicted more than 200mn protein structures and accelerated biological and medical research. *Our take: Mr. Jumper's move is another notable example of frontier AI labs competing aggressively for technical talent. For Google DeepMind, the departure is symbolically meaningful, but we think the broader organization retains substantial depth across AI research.*

Character.ai cofounder departs Google for OpenAI

In late June'26, Noam Shazeer, Google vice president of engineering and co-lead of the Gemini AI models announced departure from Google to join OpenAI. Reuters reported that Shazeer announced the move on June 17, while OpenAI Chief Research Officer Mark Chen said Shazeer would lead AI architecture research. Shazeer joined Google in 2000 and was a co-author of the 2017 research paper Attention Is All You Need, which introduced the transformer architecture that underpins many generative AI systems. He left Google in 2021 to co-found Character.ai and returned in 2024 as part of a licensing agreement involving that company.

Google explores Samsung role in next-gen TPU manufacturing

In early June press reports suggested Google was in talks with Samsung Electronics to manufacture part of its next-generation AI processor, a Tensor Processing Unit under development with the codename Icefish. Google plans for TSMC to produce the main computing portion of the chip, while Samsung may manufacture a component that connects the processor to memory using its 2nm production technology. The chip is being designed with MediaTek and remains in development, with mass production possible as early as 2028.

Google reportedly orders Intel-made TPUs

According to The Information report from June, Google reportedly placed an order for Intel to manufacture more than 3mn TPUs for 2028 production. The report noted that the order followed months of Google testing Intel's packaging technology and would be handled through Intel Foundry. Google is expected to deploy more than 6mn TPUs across 2027 and 2028, with Intel reportedly handling roughly half of that volume and TSMC retaining the balance.

CMA imposes Fair Ranking & Data Portability requirements on Google

In June'26, the UK Competition and Markets Authority introduced two conduct requirements for Google's general search services under the UK digital markets competition regime. The first requirement covers fair ranking and requires Google to rank organic search results using objective and non-discriminatory criteria, including in AI Overviews, but excluding sponsored results. Google must also provide businesses with more transparency on how rankings work, give advance notice of significant changes, and create processes for businesses to raise concerns. The second requirement turns Google's UK search data portability tool into a legal obligation, allowing users to port search data to authorized third parties. Google has six months to implement fair ranking and three months to implement data portability.

Google Ordered to Make Changes to AI Search Summaries by UK

In June'26, the UK Competition and Markets Authority ordered Google to change how publishers can control the use of their content in AI-powered search features, including AI Overviews and AI Mode. The CMA said publishers must be able to block their content from being used in Google's AI search features without losing visibility in traditional search results. The regulator also required Google to provide publishers with tools to control use of their content for AI training, ensure proper attribution through clear links in AI-generated search results, and provide more transparency and reporting around AI feature performance. Google said it would begin testing controls with a subset of UK website owners before broader rollout. Google has nine months to implement the required changes.

Gemini 3.5 & Omni reinforce frontier AI positioning

At I/O 2026, Google announced Gemini 3.5 Flash and Omni LLM. Gemini 3.5 Flash had significant improvements in reasoning, coding, and agentic workflows versus previous versions. Google also emphasized materially faster inference speeds and lower costs relative to competing frontier models. Gemini Omni reflects the company's push toward world-model AI systems capable of understanding and interacting across multimodal environments. Google highlighted stronger physics reasoning and real-world simulation capabilities, suggesting the model represents meaningful progress toward artificial general intelligence. *Our Take: Gemini Flash's cost and speed advantages could further drive both consumer adoption of Google products, and Cloud customer wins from potential cost savings. Also, demonstrating progress toward AGI-level systems should be a sentiment boost for Google's competitive positioning. See our note: Taking the lead in consumer AI experiences.*

Search evolving toward an all-purpose AI site

The company also integrated Gemini 3.5 Flash in Search and introduced a redesigned intelligent search experience. The new interface supports: 1) multimodal inputs and 2) uses AI-powered suggestions to help users refine queries more dynamically. Google also launched a redesigned Gemini app featuring dynamic layouts, fluid animations, and AI-generated visuals to create a more conversational and adaptive user experience. Google introduced Search Agents, persistent background AI agents that continuously monitor information across categories including finance, shopping, travel, and sports on behalf of users. These agents can proactively surface updates and notify users when conditions or preferences change. *Our Take: The successful ramp of AI Overviews (2.5bn users), AI Mode (1bn users) & Gemini adoption (900mn MAUs, up from 400mn a year ago) suggests Google is successfully transitioning Search users toward AI-native experiences, reducing the risk of competitive disruption. We also think the new intelligent Search interface & Gemini 3.5 integration could increase search utility, engagement, and boost query growth. Big question still to be answered is whether monetization of AI queries can materially exceed search. We think deeper AI interactions with more ad space can drive better monetization of informational queries, driving continued search revenue strength.*

Leading the rollout of consumer AI agents

At I/O, Google introduced Gemini Spark, a persistent personal AI agent designed to autonomously perform tasks across devices and applications. Operating under user-defined permissions and controls, Spark can interact with Gmail, Docs, Sheets, Calendar, Chrome, and third-party services to manage workflows in the background. For developers and enterprise users, Google launched Antigravity 2.0, an upgraded agent-first coding platform where autonomous AI agents can independently build and manage software workflows across coding tools, browsers and cloud environments. The company also announced a new $100/month Ultra subscription plan with a 5x higher usage limit in Google Antigravity than AI Pro plan. *Our Take: While most other competitive tech platforms remain in early stages of developing consumer-facing AI agents, Google's captive audience and speed of deployment should help the company establish ecosystem lock-in and behavioral defaults around agentic workflows. Also, Antigravity 2.0 improves Google's offering for agentic software workflows, a key focus area for both Anthropic and OpenAI.*

Laying the foundation for agentic commerce adoption

Also at I/O, Google announced Universal Cart, a persistent cross-merchant shopping cart that enables users to save, track, and manage products across retailers and Google surfaces. The cart will allow users to make purchases within the cart for participating retailers (including Target and Walmart, but not Amazon so far), or send users directly to retail sites to check out (which could be a potential option for Amazon). Google hinted that food delivery and hotel booking capabilities were on the horizon, but had little to show on those categories. *Our Take: Google continues to build the foundational infrastructure required to support agentic commerce, the Universal Cart provides more visibility on planned check out mechanism. Marchants will remain the merchant of record for transactions, including returns and customer follow up, and were branded within the cart, but still feels like cart features, such as price comparisons and user advice on shopping, could commoditize their offerings. We think Amazon, with 40% eCommerce share and leading distribution capacity, is likely cautious on entering any future agentic agreements that could impact direct traffic. As for travel, we think Google is still probably several months away from hotel booking offering given lack of news at I/O, and we imagine negotiations with OTAs are still ongoing.*

Anthropic to spend $200bn on Google Cloud

Per a 5/6/26 The Information article, Anthropic has committed to spend ~$200bn on Google Cloud over the next five years. The report suggests Anthropic could represent over 40% of the $462bn (+$220bn q/q) backlog Google disclosed in 1Q'26 earnings. The report also highlighted sector customer concentration risk, with Anthropic and OpenAI together accounting for more than half of the ~$2tr backlog across major cloud providers. *Our Take: While both Google and Anthropic announced a broader infrastructure deal on April 6th for up to 5GW of capacity, we think (and the report suggests) future revenues from this deal were included in Google's 1Q backlog report (Google has not disclosed Anthropic's contribution). While customer concentration adds risk, securing anchor customers like Anthropic remains strategically important for driving utilization and cloud competitive positioning. We have noted significant investor interest in how much of this backlog is for Google Cloud, vs possible TPU sales, and what potential margins could look like on TPU revenues. We would assume that Google would want similar margins on TPU sales as generated by Google Cloud given capacity constraints, though large customers can get favorable terms. See our note: Anthropic to spend $200bn on Google Cloud.*

Google Smart glasses coming in 2H

Google has expanded Android XR with a push into intelligent eyewear. At I/O the company announced two categories of Gemini-powered glasses: audio-first and display smart glasses. Google unveiled audio-first AI glasses are expected to launch this fall. The glasses provide Gemini-powered assistance entirely through voice interactions without a display. Google highlighted that the glasses would support both Android and iOS devices. The display-based glasses, which were previewed last year, include an inline visual display capable of showing translations, navigation, widgets, notifications, and contextual information directly within the user's field of view. *Our Take: As major technology platforms continue to increase investment in the category, we think smart glasses could potentially emerge as a next-generation computing platform. The new line of* *smart glasses positions Google in direct competition with Meta in the emerging AI wearable category. Key specifications of the glasses, such as camera type and battery life were not announced, suggesting Google still has work to do before release.*

New ad formats/tools designed for AI Search experiences

At 2026 Marketing Live, Google unveiled a range of new AI-powered advertising and commerce tools for marketers, designed to monetize new AI use cases. The company also announced the global rollout of AI Max and noted Max campaigns deliver 27% more conversions vs manual campaigns. New ad formats built specifically for AI Mode included conversational AI answer ads, Direct Offers, AI-powered Shopping Ads, and retailer-connected commerce ads that link users directly to merchants with available inventory. *Our Take: New AI-focused ad formats should help capitalize on growing AI search format usage (1bn users of AI Mode) and could accelerate Search monetization. Broader rollout of AI Max should improve conversion efficiency and help drive incremental ad spend. See our note: New ad capabilities to capitalize on AI use cases.*

Alphabet's Isomorphic Labs raises $2.1bn

In May'26, Isomorphic Labs raised $2.1 bn in a Series B funding round led by Thrive Capital, with participation from Alphabet, GV, and additional investors including MGX, Temasek, CapitalG, and the UK Sovereign AI Fund. The company said the proceeds will be used to scale its AI drug design engine and advance its therapeutic development pipeline. The funding round was completed at an undisclosed valuation and the press reports highlighted that the company expects its first clinical trials by the end of 2026.

Appendix: Web Traffic Trends

Global traffic

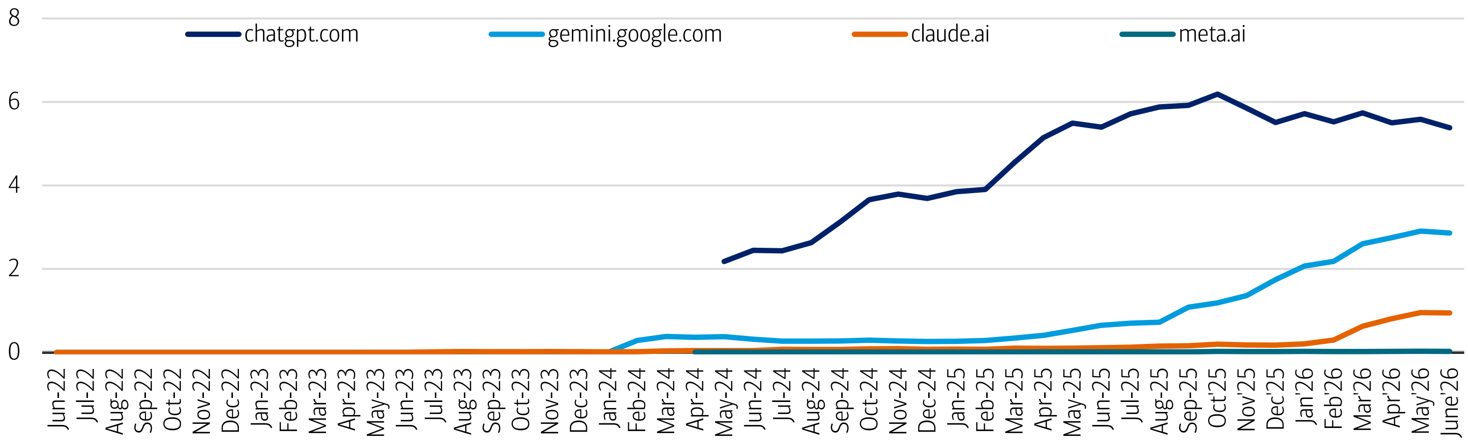
ChatGPT global web traffic flat y/y (flat m/m), Google up 4% y/y

According to Similarweb, in June, global daily avg. web visits (includes desktop & mobile web, but not app traffic) to Google were up 4% y/y to 2.8bn, ChatGPT was flat y/y at 179mn, Gemini was up 341% y/y, Claude was up 736% y/y, and Meta AI was up 98% y/y. **On m/m basis**, Google and ChatGPT were flat, Gemini was up 2%, Claude was up 3%, and Meta AI was down 5% y/y.

Note: *Similarweb defines traffic as the total number of visits to a website (on desktop or mobile web), encompassing all user sessions over a selected period. A visit is counted each time a user initiates a session on a website. If the same user visits a site multiple times in a day, each session is counted as a separate visit.*

Exhibit 15: in June, global daily avg. web visits to ChatGPT were flat y/y while Gemini and Claude were up

Global daily avg. web traffic (mn)



Source: Similarweb, BofA Global Research

Exhibit 15: in June, global daily avg. web visits to ChatGPT were flat y/y while Gemini and Claude were up
Global daily avg. web traffic (mn)

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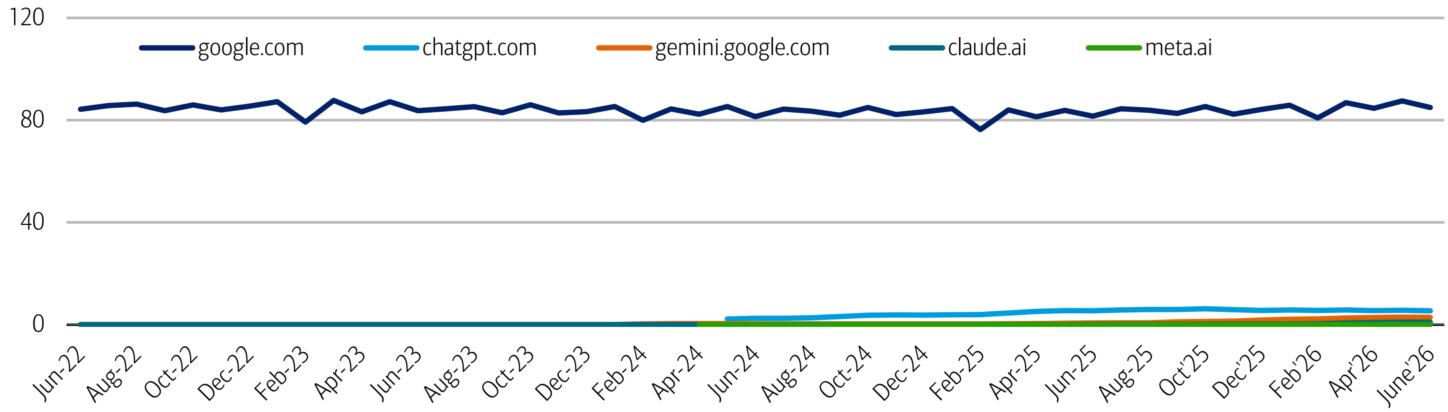
Google global web traffic up 4% y/y in June

In June, global daily avg. web traffic to Google was up 4% y/y (flat m/m) to 2.8bn. Google's traffic was 16x larger than ChatGPT and 90x that of Claude.

Exhibit 16: In June, Google global web traffic was up 4% y/y
Global daily avg. web traffic (bn)



Source: Similarweb, BofA Global Research
Note: Similarweb defines traffic as the total number of visits to a website (on desktop or mobile web), encompassing all user sessions over a selected period. A visit is counted each time a user initiates a session on a website. If the same user visits a site multiple times in a day, each session is counted as a separate visit.

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Price objective basis & risk

Alphabet (GOOGL / GOOG)

Our price objective of $430/$430 is based on 28x 2027E core Google GAAP EPS plus cash per share. Alphabet has traded at an average multiple of 22x GAAP P/E over the last ten years, and we think our target multiple is reasonable vs history given expectations for double-digit revenue growth, Cloud margin expansion, and opportunity to capitalize on strong AI assets.

Downside risks are 1) loss of search traffic to AI tools from competitors, 2) LLM integration in search may take longer than expected or negatively impact search revenues, 3) revenue pressure from compliance with the EU Digital Markets Act (DMA), and 4) potential for increasing Capex and lower FCF-given AI investments.

Analyst Certification

I, Justin Post, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Alphabet	GOOGL	GOOGL US	Justin Post
	Alphabet	GOOG	GOOG US	Justin Post
	Amazon.com	AMZN	AMZN US	Justin Post
	AppLovin	APP	APP US	Omar Dessouky, CFA
	Booking Holdings Inc	BKNG	BKNG US	Justin Post
	Chewy Inc	CHWY	CHWY US	Michael McGovern
	Digital Turbine, Inc	APPS	APPS US	Omar Dessouky, CFA
	DoorDash	DASH	DASH US	Justin Post
	DoubleVerify Holdings, Inc.	DV	DV US	Omar Dessouky, CFA
	Ethos	LIFE	LIFE US	Michael McGovern
	Expedia	EXPE	EXPE US	Justin Post
	LegalZoom	LZ	LZ US	Michael McGovern
	Life360	LIF	LIF US	Nitin Bansal, CFA
	Magnite, Inc.	MGNI	MGNI US	Omar Dessouky, CFA
	Meta Platforms Inc	META	META US	Justin Post
	Navan, Inc.	NAVN	NAVN US	Nafeesa Gupta
	Peloton	PTON	PTON US	Nafeesa Gupta
	Playtika	PLTK	PLTK US	Omar Dessouky, CFA
	Take-Two Interactive	TTWO	TTWO US	Omar Dessouky, CFA
	Tripadvisor	TRIP	TRIP US	Nafeesa Gupta
	Uber	UBER	UBER US	Justin Post
	Wayfair	W	W US	Michael McGovern
	Wix.com	WIX	WIX US	Michael McGovern
NEUTRAL				
	Airbnb	ABNB	ABNB US	Justin Post
	Carvana	CVNA	CVNA US	Michael McGovern
	Coursera Inc.	COUR	COUR US	Nafeesa Gupta
	Duolingo	DUOL	DUOL US	Omar Dessouky, CFA
	eBay	EBAY	EBAY US	Michael McGovern
	Etsy, Inc.	ETSY	ETSY US	Michael McGovern
	Instacart	CART	CART US	Justin Post
	Match Group	MTCH	MTCH US	Omar Dessouky, CFA
	Pinterest	PINS	PINS US	Justin Post
	Reddit	RDDT	RDDT US	Justin Post
	Roblox Corp. Class A	RBLX	RBLX US	Omar Dessouky, CFA
	Snap	SNAP	SNAP US	Justin Post
	StubHub Holdings	STUB	STUB US	Justin Post
	Unity	U	U US	Omar Dessouky, CFA

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US - Internet Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Vivid Seats	SEAT	SEAT US	Steven McDermott
	Zillow	Z	Z US	Omar Dessouky, CFA
	Zillow Group	ZG	ZG US	Omar Dessouky, CFA
UNDERPERFORM				
	ACV Auctions	ACVA	ACVA US	Michael McGovern
	Bumble	BMBL	BMBL US	Omar Dessouky, CFA
	Cardlytics, Inc	CDLX	CDLX US	Omar Dessouky, CFA
	Ibotta	IBTA	IBTA US	Nitin Bansal, CFA
	Lyft, Inc.	LYFT	LYFT US	Justin Post
	Yelp	YELP	YELP US	Nitin Bansal, CFA
RSTR				
	Global Business Travel Group, Inc.	GBTG	GBTG US	Nafeesa Gupta

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Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization	Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations – Total Capex	N/A
Quality of Earnings	**Numerator**	**Denominator**
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt – Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense
Valuation Toolkit	**Numerator**	**Denominator**
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations – Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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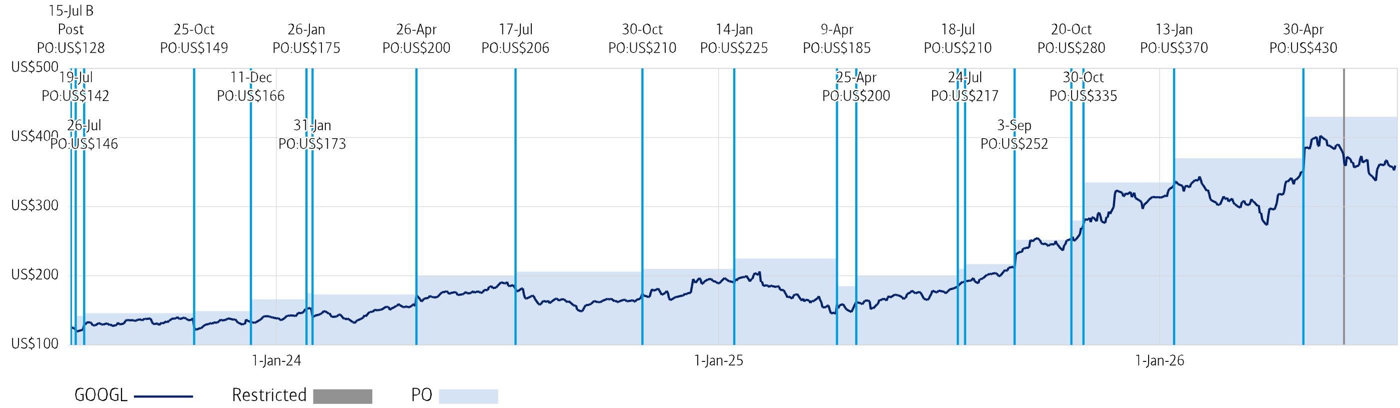
Important Disclosures

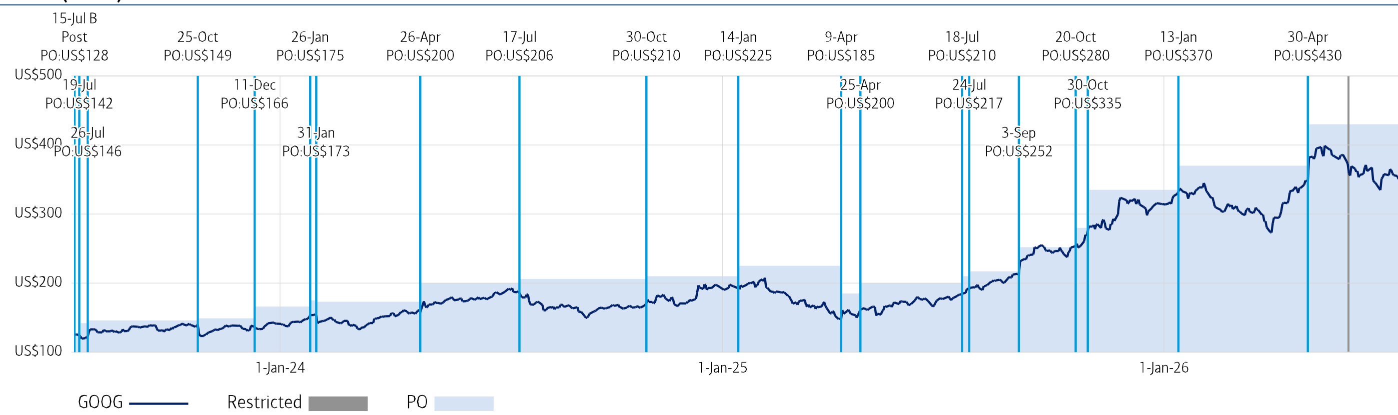
Alphabet A (GOOGL) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Alphabet C (GOOG) Price Chart



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Equity Investment Rating Distribution: Technology Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	243	60.60%	Buy	123	50.62%
Hold	87	21.70%	Hold	45	51.72%
Sell	71	17.71%	Sell	21	29.58%

Equity Investment Rating Distribution: Global Group (as of 30 Jun 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	1987	56.11%	Buy	1190	59.89%
Hold	797	22.51%	Hold	496	62.23%
Sell	757	21.38%	Sell	391	51.65%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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